

electronics manufacturing is crucial for reducing strategic vulnerabilities and curbing foreign exchange outflows, as the country currently imports a significant portion of its electronic components, especially from China and Hong Kong. Achieving the government's ambitious target of \$500 billion in electronics production by 2030 could create 5-6 million jobs, doubling current employment in the sector and integrating millions more into the workforce through both direct and indirect opportunities. Expanding domestic manufacturing not only boosts exports, helping Indian firms join global value chains, but also enhances sustainability by localising supply chains and reducing the sector's carbon footprint.

However, the path forward is challenging: component manufacturing requires high upfront investments, faces unfavourable investment-to-turnover ratios, rapid technological obsolescence, and a persistent shortage of skilled talent. To address these, the government is rolling out differentiated support, offering more generous incentives to high-risk, low-scale segments, while also focusing on ecosystem development by supporting capital equipment and supply chain vendors, not just final product assemblers. There is a strong emphasis on achieving global quality standards, such as Six Sigma, and building indigenous design capabilities to ensure India's electronics sector is not just self-reliant but also globally competitive.

How to apply: Fast-track to incentives

- **Online portal.** Launched April

Speakers



Abhishek Jain, Partner and National Head - Indirect Tax, KPMG in India



Saurabh Agarwal, Partner, EY



Sonam Bhandari, Chartered Accountant, BBSR & Associates LLP



Sukhpal Singh, Director, from EY Tax and Regulatory Services

2025 for streamlined applications

- **Consultation window.** Open for industry feedback to fine-tune guidelines
- **First-come, first-served.** Early applicants are more likely to secure incentives

The ECMS key process begins with the submission of applications through an online portal, where the project management agency (PMA) receives, examines, and appraises applications before making recommendations to the Governing Council (GC). The GC reviews proposals and forwards its recommendations to the competent authority, after which MeitY issues approvals or rejections. For incentives, applicants must submit claims with proper documentation. The PMA conducts audits and appraises claims before recommending approvals.

Disbursements are made by MeitY via direct bank transfer, with partial payments for related-party

sales and final payments upon compliance. Baseline and QPRs are crucial for turnover-linked incentives, requiring applicants to include Indian sales data and submit self-certified QPRs within 30 days after the end of each quarter. The baseline determination is a time-bound process to be completed within 35 working days. The GC may revoke approvals if investments are sluggish or if there is a substantial lack of sales performance, making applicants ineligible for future incentives

The big picture: India's moment to lead

ECMS is more than a policy, it is a paradigm shift from volume-driven subsidies to value-driven support. With the right execution, continued

industry-government collaboration, and bold investments, India can transform from a passive assembler to a global electronics manufacturing powerhouse. "This is the first time a policy framework has truly focused on the bedrock of electronics, components. It marks a strategic shift from plug-and-play to design-and-make-in-India," says Dr Shashank Kumar, President, Elcina.

For entrepreneurs, investors, and engineers, ECMS presents a compelling opportunity. With policies in place and substantial incentives available, the future of India's electronics sector lies not just in assembly, but in creating the core components of the future—in its labs, factories, and studios. **EFY**

This article is based on Elcina's seminar on the Electronics Components Manufacturing Scheme (ECMS): Unlocking Opportunities for India's Electronics Ecosystem, where keynote address was given by Nirmod Kumar, Director, MeitY. It has been transcribed and curated by Akanksha Sondhi Gaur, Senior Technology Journalist at EFY.